

The informal economy



Like grass between paving stones, economic life sprouts among the cracks in the formal economic sector of private companies and state bureaucracies. Pedlars hawking bric-a-brac from makeshift stalls, shoeshine boys and even currency black marketeers all make up what has come to be known as an informal economy. Such economies have emerged in many eras, and still exist in a wide range of societies.

Recently, there has been interest in the informal sectors of developing nations. In such countries, the informal economy makes up a large share of economic activity. Because it is not part of the formal structure of legal regulation and taxation it is hard to measure. The urban populations of many developing countries have swelled as rural migrants arrive looking for work, and many of these people end up in the informal sector. Some development policy is aimed at helping people in this part of the

economy – for example, by providing them with loans, which they would otherwise be unable to obtain from banks.